advanced economies. See, for example, Lant Pritchett, "Divergence, Big Time," *Journal of Economic Perspectives* 11, no. 3 (1997): 3–17.

47. Lant Pritchett and Lawrence H. Summers, *Asiaphoria Meets Regression to the Mean*, NBER Working Paper No. 20573, National Bureau of Economic Research, October 2014.

48. This point adapts the insight that the United States as hegemon is both "system-maker and privilege-taker" in creating and paying to maintain the international order while also taking a disproportionate share of the benefits. Michael Mastanduno, "System Maker, Privilege Taker: U.S. Power and the International Political Economy," *World Politics* 61, no. 1 (January 2009): 121–154.

49. Zhu, "Understanding China's Growth," 103.

50. Richard Dobbs, James Manyika, and Jonathan Woetzel, *No Ordinary Disruption: The Four Global Forces Breaking All the Trends* (New York: PublicAffairs, 2015), 18.

51. World Bank, WDI data.

52. Zhu, "Understanding China's Growth," 103–124; Development Research Center of the State Council (DRC) and World Bank, *China 2030: Building a Modern, Harmonious, and Creative Society* (Washington, DC: World Bank Publications, 2013); and Stephen Roach, *Unbalanced: The Codependency of America and China* (New Haven, CT: Yale University Press, 2014).

53. Nicholas R. Lardy, *Markets over Mao: The Rise of Private Business in China* (Washington, DC: Peterson Institute for International Economics, 2014).

54. Ibid., 138–141.

55. Japan, South Korea, and Taiwan did not slow down until after productivity topped 60 percent. China could still do much to correct distortions in its domestic market, including misallocation of capital, not to mention implementing more ambitious governance reforms and liberalizing financial markets, as discussed later. Zhu, "Understanding China's Growth," 108–109, 121. See also DRC and World Bank, *China 2030*.

56. Sean Miner, "Tracking China's Service Sector," Peterson Institute for International Economics, November 7, 2016.

57. World Bank, *China Economic Update* (July 2015).

58. Quoted in IMF Country Report No. 16/270, *The People's Republic of China* (August 2016), 4.

59. See DRC and World Bank, *China 2030*; World Bank, *Global Financial Development Report 2013: Rethinking the Role of the State in Finance*; and World Bank, *Global Financial Development Report, 2015/2016: Long-Term Finance*.

60. Richard Dobbs, Susan Lund, Jonathan Woetzel, and Mina Mutafchieva, "Debt and (Not Much) Deleveraging," MGI, February 2015;"Asian Nations Swimming in Debt at Risk From Fed Rate Hikes," *Bloomberg News*, April 10, 2017, https://www.bloomberg.com/news/articles/2017-04-10/fed-rate-hikes-raise-risks-for-asian-nations-swimming-in-debt; and IMF Country Report No. 16/270.

61. Dobbs et al., "Debt and (Not Much) Deleveraging"; World Bank, China Economic Update; and Eswar Prasad, Testimony Before the U.S. China Economic and Security Review Commission, April 27, 2016.

62. 2016 Global Manufacturing Competitiveness Index, 1, 13.

63. World Bank, *Global Economic Prospects* (January 2016), 195.

64. Of the 192 countries in the IMF database, 144 have per capita incomes that are less than half of U.S. per capita GDP, while in 102 countries, including China, per capita GDP is less than 25 percent of the U.S. level. Steve Johnson, "Emerging Markets to Slow as Convergence Theory Takes Hold," *Financial Times*, June 2, 2016.

65. World Bank, China Economic Update, June 2015, 22.

66.*Global Growth: Can Productivity Save the Day in an Aging World?* MGI, January 2015.